

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and
Consumer Act 2010* (Cth) by Victoria Quay International
RoRo Terminal Pty Ltd ACN 167 888 646

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1. Persons giving this Undertaking

- 1.1 This undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Victoria Quay International RoRo Terminal Pty Ltd ACN 167 888 646 (**VQIRT**) pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) (**Act**).

2. Background

The proposed acquisition

- 2.1 In December 2013, Fremantle Ports invited expressions of interest to develop and operate a new automotive and Ro-Ro terminal at Victoria Quay within the Port of Fremantle (**Terminal**).
- 2.2 Fremantle Ports is a government trading enterprise established under the *Port Authorities Act 1999* (WA) to manage the Port of Fremantle.
- 2.3 Fremantle Ports is conducting a competitive tender and has invited VQIRT to submit a proposal for the right to design, lease, build and operate the Terminal on an open access basis for an anticipated 20 year period. Pursuant to the Terminal Licence between Fremantle Ports and the successful bidder, the successful bidder would not be responsible for berthing allocation at the Terminal. Berthing allocation will be provided by Fremantle Ports.
- 2.4 VQIRT proposes to submit a bid to Fremantle Ports for the right to develop and operate the Terminal and, if successful, proposes to enter into a Terminal Lease and Terminal Licence with Fremantle Ports (**Proposed Transaction**). VQIRT's proposal will include an open access regime and the implementation of charges for users of the Terminal which will be reflective of the costs of developing and operating the Terminal. The purpose of the open access regime is to require the operator of the Terminal to manage the Terminal on a non-discriminatory basis with open access to all automotive and RoRo shipping lines, stevedores, PDI service providers, mooring service providers, car companies and other automotive terminal end-users. VQIRT's charges will be subject to independent price oversight and a dispute regime accessible to all persons with an interest in the terms and conditions of access to the Terminal. VQIRT is committed to implementing confidentiality arrangements to protect the commercially sensitive information of Terminal Users.
- 2.5 VQIRT is a wholly owned subsidiary of Wallenius Wilhelmsen Terminals Holding AS, a company which operates automotive terminals in Europe, the United States and Asia. Wallenius Wilhelmsen Terminals Holding AS is a wholly owned subsidiary of Wallenius Wilhelmsen Logistics AS (**WWL**), the ultimate parent company of VQIRT.
- 2.6 WWL operates an ocean shipping business which operates vessels that will berth at the Terminal to load and unload cargo.

The ACCC's review

- 2.7 The ACCC commenced its review of the Proposed Transaction on 23 December 2014. The ACCC conducted market inquiries and considered information provided by VQIRT and interested parties. The purpose of the ACCC's inquiries was to assess whether or not the Proposed Transaction would have the effect, or be likely to have the effect, of substantially lessening competition in any market in contravention of section 50 of the Act.
- 2.8 VQIRT offered the ACCC a court enforceable undertaking pursuant to section 87B of the Act to address any competition concerns the ACCC may have resulting from the Proposed Transaction. As part of market inquiries, the ACCC also sought feedback from interested parties on the open access regime as proposed by VQIRT, focussing on the proposed access services terms and conditions, and the price and non-price dispute resolution regimes.

The ACCC's competition concerns

- 2.9 Through market inquiries conducted by the ACCC, concerns were expressed in relation to VQIRT's status as a vertically integrated operator of the sole automotive terminal at the Port of Fremantle, having regard to:
- (a) VQIRT's ultimate parent company, WWL, which is a full service global automotive shipping and logistics provider; and
 - (b) the potential for VQIRT to vertically integrate in the provision of other Terminal Services (such as stevedoring or PDI operator services) in the future.
- 2.10 The key concerns identified were that if the Proposed Transaction proceeds:
- (a) VQIRT would have access to rival shipping companies' commercially sensitive information and may be able to use this information to the advantage of WWL;
 - (b) VQIRT would have access to Terminal Users' commercially sensitive information, which may raise concerns should VQIRT or its Related Bodies Corporate commence providing Terminal Services in the downstream market in the future;
 - (c) in the event that VQIRT becomes responsible for berthing at the Terminal, VQIRT would have the ability to provide preferential treatment to WWL compared to other shipping companies, including through shipping schedules and the provision of ancillary services;
 - (d) VQIRT may have the ability and incentive to foreclose the entry and expansion of its non-vertically integrated rivals by:
 - (i) raising the stand alone price for Access Services above efficient levels such that this raises the input costs of its rivals; and
 - (ii) VQIRT or its Related Bodies Corporate offering Terminal Services (whether as separate services or as a bundled offer) in the downstream market at a price which prevents or hinders the ability of its rivals to compete for the supply of the relevant Terminal Services.
 - (e) VQIRT's proposed open access regime needs to be effective in preventing VQIRT from discriminating against competing shipping lines and other Terminal Users;
 - (f) the proposed open access regime contained in the Terminal Licence is unlikely to be effective in addressing competition concerns because it is not subject to independent oversight and enforcement, and as a private agreement could be changed in the future; and
 - (g) there should be price and non-price dispute resolution processes which should be available to any person.
- 2.11 The ACCC concluded that, in the absence of this Undertaking, VQIRT would have an increased ability and incentive to discriminate against rival automotive shipping lines and other Terminal Users that VQIRT or its related entities may compete with in future, and provide preferential treatment to its related entities in the market for the supply of automotive terminal services in the Fremantle region.
- 2.12 The ACCC also concluded that the open access regime proposed by VQIRT, which includes independent price oversight mechanisms, non-discrimination obligations and confidentiality safeguards, should be capable of independent oversight and enforcement to ensure that VQIRT treats all Terminal Users on a non-discriminatory basis and that the confidential information of Terminal Users is protected.

- 2.13 VQIRT does not agree that the concerns described above are likely to arise or that the Proposed Transaction will have the effect, or be likely to have the effect, of substantially lessening competition in any market but, for the avoidance of doubt, VQIRT has provided this Undertaking to address any potential competition concerns, should VQIRT be the successful bidder for the Terminal redevelopment.
- 2.14 Given the Undertaking is expected to be in place for the duration of the Terminal Lease (anticipated to be 20 years from commencement of the Terminal Lease) unless terminated, the ACCC was concerned to ensure that this Undertaking continues to meet its objectives throughout its entire term.

The Undertaking remedy

- 2.15 The objective of this Undertaking is to address the ACCC's competition concerns, as set out in clauses 2.9 to 2.12 and 2.14 above. This Undertaking aims to achieve this objective by placing obligations on VQIRT to:
- (a) not discriminate between Terminal Users, or engage in conduct for the purposes of preventing or hindering access services to Terminal Users or prospective users. To ensure that VQIRT does not discriminate in this way, VQIRT must comply with the Open Access Conditions;
 - (b) ring fence confidential information of Terminal Users, and maintain controls to ensure that confidential information is not disclosed to unauthorised personnel, which includes Related Bodies Corporate of VQIRT (other than those conducting similar Terminal operations in Australia which are subject to a similar undertaking);
 - (c) comply with the Price Dispute Resolution Process, which includes the appointment of an ACCC approved Independent Price Expert, and the Non-Price Dispute Resolution Process;
 - (d) provide for the effective oversight of VQIRT's compliance with this Undertaking, including an obligation which requires VQIRT to provide for a compliance audit by an ACCC Approved Independent Auditor at the request of a Terminal User at any time; and
 - (e) provide for regular reviews of this Undertaking to ensure that the Undertaking continues to meet the objectives as described in this clause 2.

3. Commencement of this Undertaking

- 3.1 This Undertaking comes into effect when:
- (a) this Undertaking is executed by VQIRT;
 - (b) this Undertaking so executed is accepted by the ACCC; and
 - (c) a licence to operate the Terminal is granted by the Port Manager to VQIRT and commences operation according to its terms,
- (and the date on which the last of these events occurs is the **Commencement Date**).
- 3.2 VQIRT must notify the ACCC in writing of the occurrence of the Commencement Date within one Business Day of that date.

4. Cessation of this Undertaking

Expiry

- 4.1 This Undertaking expires on the date that VQIRT ceases to operate the Terminal and the ACCC confirms this in writing.

Withdrawal

- 4.2 Notwithstanding clause 4.1, this Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

Revocation

- 4.3 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 4.4 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

Completion

- 4.5 Clauses 1, 2, 3, 4, 13, 14, 15, 16, 18, 20, 21 and 22 survive completion of the obligations in clauses 5, 6, 7, 8, 10, 11, 12, 17 and Schedules 1, 2, 3, 4, 5 and 6.

5. Open Access Conditions

- 5.1 VQIRT must comply with the Open Access Conditions set out in Schedule 1.
- 5.2 In complying with this clause 5 and without limiting the generality of the obligations therein in relation to all Terminal Services, VQIRT must not:
- (a) offer a longer period of free landside storage at the Terminal for cargo transported by shipping lines which are Related Bodies Corporate of VQIRT than for Comparable Cargo transported by other shipping lines;
 - (b) offer to waive storage fees for cargo transported by shipping lines which are Related Bodies Corporate of VQIRT to a greater extent than, or in different circumstances to, offers made to waive storage fees for Comparable Cargo transported by other shipping lines;
 - (c) offer more favourable storage terms at the Terminal for cargo transported by shipping lines which are Related Bodies Corporate of VQIRT than for Comparable Cargo transported by other shipping lines;
 - (d) discriminate between Licensees when they are providing services to shipping lines which are Related Bodies Corporate of VQIRT, and when they are providing services to other shipping lines in relation to:
 - (i) rules about receipt and delivery of Comparable Cargo; and
 - (ii) the allocation of equipment for Comparable Cargo;
 - (e) discriminate in the allocation of yard space at the Terminal such that cargo transported by shipping lines which are Related Bodies Corporate of VQIRT is provided with more favourable laydown areas compared with Comparable Cargo transported by other shipping lines; or

- (f) offer export customers of shipping lines which are Related Bodies Corporate of VQIRT superior receival services (including laydown/free time) than those offered to customers of other shipping lines for comparable services.

6. Berthing Allocation

- 6.1 VQIRT must not have any responsibility for determining the allocation of berths for vessels calling at the Terminal, nor manage or provide berthing services at the Terminal, unless VQIRT has offered, and the ACCC has accepted, a section 87B undertaking or variation to this Undertaking setting out the berthing allocation rules which will apply at the Terminal.

7. Confidentiality and ring-fencing

Access to and use of ring-fenced Confidential Information

- 7.1 VQIRT must not require a Terminal User or proposed Terminal User to provide any Confidential Information to VQIRT unless provision of that Confidential Information is:
 - (a) reasonably necessary for the proper operation of the Terminal;
 - (b) required by law or government authority; or
 - (c) consented to by the Terminal User.
- 7.2 For the avoidance of doubt, VQIRT must not require a Terminal User to provide any Confidential Information to VQIRT about freight rates, terms and conditions agreed with a customer, the terms or duration or renewal of any freight contract, or any customer specific forecast of freight volumes.
- 7.3 VQIRT must keep confidential any Confidential Information provided to VQIRT by a Terminal User, an Authorised Terminal Operator, or person who has been employed by an Authorised Terminal Operator, and only allow Authorised Persons to access that Confidential Information.
- 7.4 VQIRT must only allow Authorised Persons to use Confidential Information provided by a Terminal User or an Authorised Terminal Operator for the purpose of:
 - (a) providing Access Services, Terminal Services and/or Qualified Terminal Services to that Terminal User;
 - (b) resolving a Terminal Dispute;
 - (c) as otherwise expressly consented in writing by that Terminal User.
- 7.5 From the Commencement Date, VQIRT must appoint a VQIRT Compliance Officer who is responsible on a day to day basis for monitoring VQIRT's compliance with this clause 7.
- 7.6 VQIRT must implement an annual compliance education program for employees, which provides training and information on VQIRT's obligations under this clause 7, and must ensure that that compliance education program is given to new employees within 30 days of the commencement of their employment.
- 7.7 VQIRT must establish and maintain effective I.T. systems and security measures to safeguard the Confidential Information provided by Terminal Users and any Approved Terminal Operator, from unauthorised access, use, copying or disclosure. These measures will include:
 - (a) providing individual usernames, passwords and access keys to any Authorised Persons who have access to the Confidential Information of Terminal Users; and

- (b) recording a log of Authorised Persons who access Confidential Information of Terminal Users stored in VQIRT's I.T. system and retaining that log for inspection by the Approved Independent Auditor if required.

Limited disclosure

7.8 VQIRT may disclose Confidential Information of a Terminal User:

- (a) which comprises the Vessel Details, including publication on its website from time to time;
- (b) to a Related Body Corporate of VQIRT which is an Approved Terminal Operator:
 - (i) only to the extent necessary to provide Access Services, Terminal Services and/or Qualified Terminal Services to the Terminal User; and
 - (ii) on the condition that the Approved Terminal Operator will treat that Confidential Information as if it was "confidential information" provided by a Terminal User under the section 87B undertaking given by the Approved Terminal Operator;
- (c) to the extent necessary for the provision of advice from legal advisers, financiers, accountants or other consultants or professional advisers, or notifications required to brokers, insurers, claims assessors, provided that:
 - (i) the disclosure is first approved by the VQIRT Compliance Officer who must have regard to the objectives of this Undertaking in making a decision on whether to grant such approval; and
 - (ii) the person to whom the disclosure is made is under a legal obligation to keep the information confidential;
- (d) to any mediator, expert or arbitrator to the extent necessary for the purpose of resolving a Terminal Dispute, provided that VQIRT does not disclose the Confidential Information of one Terminal User to another Terminal User without the first Terminal User's consent;
- (e) to the ACCC or other government agency to the extent necessary to comply with any written request by that agency;
- (f) to the Port Manager where VQIRT is under a legal obligation to do so;
- (g) where required by law, provided that, where permissible, VQIRT first consults with the Terminal User that provided the Confidential Information; and
- (h) to the extent the disclosure is reasonably required to protect the safety or security of persons or property or in connection with an emergency.

7.9 VQIRT must retain records of any Confidential Information of a Terminal User disclosed in accordance with clauses 7.8(b) to 7.8(h) for a period of not less than five years from the date the Confidential Information is disclosed.

7.10 For the avoidance of doubt, nothing in this clause 7 prevents VQIRT from disclosing in the ordinary course of business or financial reporting information which has been aggregated with other information of a similar nature such that it cannot reasonably be, and is not reasonably capable of being, identified with, attributed to or used to identify any Terminal User.

Confidentiality Policy

- 7.11 VQIRT must establish and maintain a Confidentiality Policy in substantially the same form as set out in Schedule 2 to assist its Personnel to comply with VQIRT's obligations under this Undertaking.

Variation of Confidentiality Policy

- 7.12 VQIRT may vary its Confidentiality Policy from time to time with the written approval of the ACCC.

VQIRT employees

- 7.13 Unless the ACCC otherwise agrees in writing, VQIRT undertakes to procure that, subject to clause 7.14, no VQIRT employee who has had access to Confidential Information of a Terminal User within a prior 6 month period is employed or engaged within 6 months of ceasing to be an employee of VQIRT in a role within, or as a contractor to, a business unit of WWL (or a Related Body Corporate of WWL) which is responsible for commercial dealings with customers acquiring ocean shipping services to and from Fremantle.
- 7.14 Clause 7.13 does not apply to any VQIRT employee who is employed or engaged by a Related Body Corporate of WWL which is an Approved Terminal Operator within 6 months of ceasing to be an employee of VQIRT, but only if the employee has undertaken to VQIRT not to disclose to the extent permitted by law any Confidential Information provided to VQIRT during their employment with VQIRT to any person other than the Approved Terminal Operator.

VQIRT's compliance with confidentiality and ring-fencing measures

- 7.15 VQIRT must report any breaches of this clause 7 to the Approved independent Auditor within 5 Business Days of becoming aware of the breach.

8. VQIRT's Self-Compliance Reports

Compliance Report

- 8.1 VQIRT must provide a report (**Compliance Report**) to the ACCC and the Approved Independent Auditor no later than:
- (a) 28 February each year, covering the immediately prior six month period from 1 July to 31 December; and
 - (b) 31 August each year, covering the immediately prior six month period from 1 January to 30 June.
- 8.2 The Compliance Report must contain:
- (a) a record of the average performance by VQIRT against each KPI in Schedule 3 for each calendar quarter within the relevant 6 month period:
 - (i) for any services provided in that period by VQIRT to its Related Bodies Corporate; and
 - (ii) for the same services provided in that period to all other Terminal Users,

(That is, for example, the report provided by VQIRT on 28 February must contain separate averages for the quarterly periods of 1 July to 30 September and 1 October to 31 December.);
 - (b) a copy of the Terminal Layout Plan; and

- (c) the identity of any Terminal User who provides Stevedoring Services or PDI Operator Services at the Terminal in which VQIRT or a Related Body Corporate of VQIRT has a direct or indirect interest greater than or equal to 20 per cent.

8.3 If this Undertaking commences or expires, is withdrawn or revoked during a 6 month period referred to in clause 8.1, the relevant Compliance Report need only cover the part of that 6 month period in respect of which this Undertaking was in operation.

9. Independent Audit

Obligation to appoint an Approved Independent Auditor

9.1 VQIRT must appoint and maintain an Approved Independent Auditor to audit and report upon VQIRT's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

9.2 VQIRT must, within 5 Business Days after the Commencement Date, provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 4 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.

9.3 If clauses 9.16, 9.17 or 9.18 apply, VQIRT must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 9.8 applies.

9.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.

9.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:

- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
- (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of VQIRT;
- (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the Approved Independent Auditor

9.6 After receiving notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, VQIRT must within 5 Business Days:

- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

- 9.7 The ACCC may exercise its powers under clause 9.8 if:
- (a) VQIRT has not provided the ACCC with a Proposed Independent Auditor Notice in accordance with clauses 9.2; or
 - (b) a new Approved Independent Auditor has not been appointed within 17 Business Days after the former Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clause 9.16, 9.17 or 9.18.
- 9.8 If clause 9.7 applies, the ACCC may, at its absolute discretion:
- (a) direct VQIRT to appoint a person who the ACCC has deemed is an Approved Independent Auditor; or
 - (b) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan.

Obligations and powers of the Approved Independent Auditor

- 9.9 VQIRT must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (a) maintain his or her independence from VQIRT, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in Schedule 4 to this Undertaking with VQIRT for the period of his or her appointment;
 - (b) conduct compliance auditing according to the Approved Audit Plan;
 - (c) conduct any ad hoc compliance audit if requested to do so by a Terminal User in accordance with clause 11 of this Undertaking;
 - (d) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 9.11; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking; and
 - (iii) any Audit Reports following completion of an ad hoc compliance audit under clause 11; and
 - (e) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 9.10 VQIRT must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of VQIRT and VQIRT's other businesses as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and

- (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

9.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:

- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures since the previous Audit Report;
- (b) to the extent feasible, a thorough audit of VQIRT's compliance with this Undertaking;
- (c) an outline of areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
- (d) all of the reasons for the conclusions reached in the Audit Report;
- (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
- (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) VQIRT's processes or reporting systems in relation to compliance with this Undertaking;
 - (iv) the KPIs in Schedule 3 of this Undertaking that VQIRT is required to report against in accordance with clause 8;
 - (v) the requirements and obligations included in this Undertaking in order to achieve the objectives in clause 2; and
- (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor made under clause 9.11(f).

9.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC and VQIRT at the following times:

- (a) within two months after the appointment of the Approved Independent Auditor, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures in conducting the audit (**Establishment Audit**);
- (b) by 31 October each year (with the first Audit Report due on 31 October 2016) until the expiry, withdrawal or revocation of this Undertaking pursuant to clause 4;
- (c) on completion of any *ad hoc* audit requested under clause 11.5; and
- (d) a final report due three months after the expiry, withdrawal or revocation of this Undertaking pursuant to clause 4.

9.13 Unless otherwise agreed with the ACCC in writing, VQIRT must implement any recommendations of the Approved Independent Auditor made in the Audit Report pursuant to

clause 9.11(f)(i) to (iv), and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.

- 9.14 VQIRT must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

VQIRT's obligations in relation to the Approved Independent Auditor

- 9.15 Without limiting its obligations in this Undertaking, VQIRT must:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
- (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
- (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing VQIRT personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
 - (ii) providing access to the facilities, sites or operations of VQIRT and VQIRT's other businesses as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (v) not appoint the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Resignation, revocation or termination of the Approved Independent Auditor

- 9.16 VQIRT must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the ACCC has provided the written notice pursuant to clause 4.1, 4.2, 4.3 or clause 4.4.

- 9.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.18 The ACCC may approve any proposal by, or alternatively may direct, VQIRT to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.
- 9.19 If clause 9.16, 9.17, 9.18 applies, VQIRT must provide the ACCC with a Proposed Independent Auditor Notice within 5 Business Days after the relevant event occurs, otherwise clause 9.8 applies.

Appointment of the Approved Independent Auditor under another section 87B undertaking

- 9.20 Nothing in this clause 9 prohibits:
- (a) a person who has been appointed as an approved independent auditor under a section 87B undertaking given by an Approved Terminal Operator from being appointed as the Approved Independent Auditor; and
 - (b) the Approved Independent Auditor being appointed as an approved independent auditor under a section 87B undertaking given by an Approved Terminal Operator.

10. Price Dispute Resolution

Price Disputes Resolution Process

- 10.1 VQIRT must comply with the Price Dispute Resolution Process at Schedule 5 to determine disputes by a Dispute Applicant in relation to Charges for the Access Services.
- 10.2 VQIRT may from time to time amend the Price Dispute Resolution Process, including to the extent necessary to comply with a written direction from the Port Manager, provided that VQIRT has obtained the prior written consent of the ACCC.

Appointment of Independent Price Expert

- 10.3 VQIRT must provide to the ACCC by 31 March each Financial Year a written notice setting out the identity of the Proposed Independent Price Expert for the forthcoming Financial Year and a copy of the proposed terms of appointment for that Proposed Independent Price Expert (**Proposed Independent Price Expert Notice**).
- 10.4 The Proposed Independent Price Expert must have the qualifications and experience necessary to carry out the functions of the Independent Price Expert independently of VQIRT and must not be:
- (a) an employee or officer of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (b) a professional adviser of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (c) a person who, in the opinion of the ACCC, holds a material interest in VQIRT or its Related Bodies Corporate;
 - (d) a person who has a contractual relationship with VQIRT or its Related Bodies Corporate (other than the terms of appointment of the Independent Price Expert);
 - (e) a Terminal User, supplier or material customer of VQIRT or its Related Bodies Corporate; or

- (f) an employee or contractor of a firm or company referred to in clauses 10.4(c) to 10.4(e).
- 10.5 VQIRT must provide to the ACCC such information and documents as the ACCC requires to assess the appointment of the Proposed Independent Price Expert.
- 10.6 The ACCC may, in its absolute discretion, consult with any other person in relation to the appointment of the Proposed Independent Price Expert as the Independent Price Expert.
- 10.7 If, after receipt by the ACCC of the Proposed Independent Price Expert Notice, the ACCC informs VQIRT in writing that it:
 - (a) does not object to the Proposed Independent Price Expert, VQIRT will appoint the Proposed Independent Price Expert as the Independent Price Expert as soon as practicable on terms approved by the ACCC and consistent with the performance by the Independent Price Expert of his or her functions under the Price Dispute Resolution Process; or
 - (b) does object to the Proposed Independent Price Expert, VQIRT will appoint a person identified by the ACCC at its absolute discretion as the Independent Price Expert on terms approved by the ACCC and consistent with the performance by the Independent Price Expert of his or her functions under the Price Dispute Resolution Process.
- 10.8 Within 2 Business Days of the appointment of the Independent Price Expert under clause 10.7, VQIRT must:
 - (a) forward to the ACCC a copy of the executed terms of appointment; and
 - (b) publish the name and contact details of the Independent Price Expert on VQIRT's website.
- 10.9 Nothing in this clause 10 prohibits:
 - (a) a person who has been appointed as an independent price expert under a section 87B undertaking given by an Approved Terminal Operator from being appointed as the Independent Price Expert; and
 - (b) the Independent Price Expert being appointed as an independent price expert under a section 87B undertaking given by an Approved Terminal Operator.

Conditions relating to Independent Price Expert's functions

- 10.10 VQIRT must:
 - (a) procure that the terms of appointment of the Independent Price Expert include obligations on the Independent Price Expert to:
 - (i) continue to satisfy the independence criteria in clause 10.4 for the period of his or her appointment;
 - (ii) provide any information or documents requested by the ACCC about VQIRT's compliance with this Price Related Dispute Resolution Process directly to the ACCC;
 - (iii) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Independent Price Expert or in relation to any matter that may arise in connection with this Price Related Dispute Resolution Process.
 - (b) comply with and enforce the terms of appointment for the Independent Price Expert;

- (c) maintain and fund the Independent Price Expert to carry out his or her functions;
- (d) indemnify the Independent Price Expert for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Independent Price Expert of his or her functions as the Independent Price Expert except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Independent Price Expert;
- (e) not interfere with, or otherwise hinder, the Independent Price Expert's ability to carry out his or her functions as the Independent Price Expert;
- (f) provide and pay for any external expertise, assistance or advice required by the Independent Price Expert to perform his or her functions as the Independent Price Expert;
- (g) provide to the Independent Price Expert any information or documents requested by the Independent Price Expert that he or she considers necessary for carrying his or her functions as the Independent Price Expert or for reporting to or otherwise advising the ACCC; and
- (h) ensure that the Independent Price Expert will provide information or documents requested by the ACCC directly to the ACCC.

11. Non-Price Dispute Resolution

Non-Price Dispute Resolution Process

- 11.1 VQIRT must comply with the Non-Price Dispute Resolution Process at Schedule 6 to determine disputes by a Dispute Applicant in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement, other than in relation to the amount of any Charges.
- 11.2 For the avoidance of doubt, VQIRT must permit a Dispute Applicant to raise a dispute under the Non-Price Dispute Resolution Process in relation to VQIRT's compliance with:
 - (a) Clause 5 - Open access conditions affecting the Dispute Applicant;
 - (b) Clause 7 - Access to and use of that Dispute Applicant's ring-fenced Confidential Information (if any).
- 11.3 VQIRT may from time to time amend the Non-Price Dispute Resolution Process, including to the extent necessary to comply with a written direction from the Port Manager, provided that VQIRT has obtained the prior written consent of the ACCC.
- 11.4 For the avoidance of doubt, a Dispute Applicant may raise a complaint regarding VQIRT's compliance with this Undertaking directly with the ACCC at any time.

Ad hoc independent audit

- 11.5 In addition to the Non-Price Dispute Resolution Process, a Terminal User who has a complaint about VQIRT's compliance with this Undertaking may at any time, by providing notice in writing to VQIRT and the ACCC, request the Approved Independent Auditor to undertake a compliance audit in accordance with clause 9 in relation to that specific complaint and prepare an Audit Report in relation to that specific complaint (**Ad Hoc Audit Notice**).
- 11.6 To be valid, an Ad Hoc Audit Notice must contain:
 - (a) a description of the complaint and reasons why the Terminal User suspects that VQIRT may have breached its obligations under this Undertaking; and

- (b) an unconditional undertaking by the Terminal User to pay the costs of the Approved Independent Auditor in connection with the audit requested in the Ad Hoc Audit Notice, within 14 days of:
 - (i) withdrawal of an Ad Hoc Audit Notice by the Terminal User; or
 - (ii) completion of the audit, if the Approved Independent Auditor does not find or report that VQIRT has breached its obligations under this Undertaking in relation to the matters set out in the Ad Hoc Audit Notice giving rise to the audit.

11.7 A Terminal User may at any time withdraw an Ad Hoc Audit Notice by notifying VQIRT and the ACCC in writing, in which case the requirement for the Approved Independent Auditor to prepare an Audit Report under clauses 9.11 and 9.12 ceases.

12. Review of the terms of this Undertaking

- 12.1 The ACCC may, after the second anniversary of the Commencement Date and thereafter not more than once in any 5 year period, review the terms of this Undertaking to consider whether any changes to the terms of this Undertaking are necessary given the objectives of this Undertaking as described in clause 2.
- 12.2 On deciding to conduct a review pursuant to clause 12.1, the ACCC may invite submissions from VQIRT, the Port Manager and other parties with an interest in the terms and conditions of access to the Terminal on whether any changes to the terms of this Undertaking are necessary in order to ensure that this Undertaking continues to achieve the objectives as described in clause 2.
- 12.3 The factors to which the ACCC may have regard in a making decision to review pursuant to clause 12.1 or in conducting the review include but are not limited to:
 - (a) the Audit Reports prepared by the Approved Independent Auditor in accordance with clause 9.11;
 - (b) any ad hoc audit reports prepared in accordance with clause 11.5;
 - (c) disputes raised under the Price Dispute Resolution Process and Non-Price Dispute Resolution Process;
 - (d) any change in circumstances since the Commencement Date or the last review conducted pursuant to clause 12.1; and
 - (e) any submissions from parties with an interest in the terms and conditions of access to the Terminal received by the ACCC.

Amendment Notice

- 12.4 Following a review in accordance with clauses 12.1, 12.2 and 12.3, if the ACCC is satisfied that a variation is necessary to ensure that the Undertaking continues to achieve the objectives as described in clause 2, the ACCC may give VQIRT an amendment notice (**Amendment Notice**) which sets out any changes that the ACCC considers should be made to the Undertaking and an explanation for those changes. The ACCC will, subject to removing any Confidential Information of VQIRT or any other person:
 - (a) publish the Amendment Notice on the ACCC's website;
 - (b) give a copy of the Amendment Notice to the Port Manager; and
 - (c) publicly consult on the Amendment Notice.

Proposed Variations to this Undertaking following ACCC review

- 12.5 Following any consultation on the Amendment Notice, if the ACCC decides that changes to this Undertaking are necessary in order to ensure that the Undertaking continues to achieve the objectives as described in clause 2, the ACCC will provide VQIRT with a notice setting out the terms of a variation to the Undertaking which is acceptable to the ACCC (**Variation Notice**).
- 12.6 VQIRT must:
- (a) consult in good faith with the ACCC with a view to proposing variations to this Undertaking which will address the matters stated in the Variation Notice; and
 - (b) notify the ACCC within 90 days of receiving a Variation Notice if VQIRT agrees to seek a variation to the Undertaking either:
 - (i) in the form set out in the Variation Notice; or
 - (ii) in a form agreed between the ACCC and VQIRT following the consultations undertaken in accordance with clause 12.6(a).
- 12.7 If VQIRT notifies the ACCC that it agrees to seek a variation to the Undertaking in accordance with clause 12.6(b), at that same time, VQIRT must provide a proposed variation to the Undertaking to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act.

Referral to expert determination

- 12.8 If VQIRT does not agree to seek a variation to this Undertaking in accordance with clause 12.6(b) (**Variation Dispute**), VQIRT must provide written notice to the ACCC of the Variation Dispute, including:
- (a) written reasons explaining why VQIRT does not propose to seek a variation to the Undertaking;
 - (b) the identity of a proposed independent expert who will be appointed to conduct the expert determination (**Proposed Independent Expert**); and
 - (c) details of the Proposed Independent Expert's relevant qualifications and experience necessary to carry out the expert determination independently of VQIRT.
- (**Variation Dispute Notice**).
- 12.9 The Proposed Independent Expert must not be:
- (a) an employee or officer of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (b) a professional adviser of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (c) a person who has a contractual relationship with VQIRT or its Related Bodies Corporate; or
 - (d) an employee or contractor of a firm or company referred to in clause 12.9(c).
- 12.10 Nothing in this clause 12 prohibits:
- (a) a person who has been appointed as an independent expert under a section 87B undertaking given by an Approved Terminal Operator from being nominated as the Proposed Independent Expert; and

- (b) the Proposed Independent Expert being appointed as an independent expert under a section 87B undertaking given by an Approved Terminal Operator.
- 12.11 Within 10 Business Days of VQIRT providing a Variation Dispute Notice to the ACCC, the ACCC will provide written notice to VQIRT informing VQIRT of its decision to agree or not agree to the Proposed Independent Expert identified by VQIRT pursuant to clause 12.8(b).
- 12.12 If VQIRT and the ACCC cannot agree on an independent expert to be appointed to determine the Variation Dispute within 20 Business Days of VQIRT providing a Variation Dispute Notice to the ACCC, then the President of the Western Australian Bar Council will determine the identity of the independent expert and the Variation Dispute will be referred to that independent expert for determination.
- 12.13 The cost of the independent expert will be borne by VQIRT unless otherwise agreed.
- 12.14 VQIRT will use best endeavours to ensure that the independent expert is provided with:
 - (a) all relevant information available to VQIRT in relation to the Variation Dispute; and
 - (b) all reasonable assistance, in a timely manner, to enable the expert to make a determination in relation to the Variation Dispute Notice within 60 days of referral to that expert.
- 12.15 The independent expert will decide whether the ACCC's proposed variation to the Undertaking as set out in the Variation Notice is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking.
- 12.16 If the independent expert decides that the ACCC's proposed variation to the Undertaking as set out in the Variation Notice (with such minor modifications as the expert considers necessary) is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking, VQIRT must proffer a proposed variation in accordance with the ACCC's proposed variation to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act within 5 Business Days of the independent expert's decision.
- 12.17 If the independent expert decides that a variation is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking but this variation differs materially from the ACCC's proposed variation, VQIRT must proffer a proposed variation in accordance with the expert's proposed variation to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act within 5 Business Days of the independent expert's decision. The ACCC may in its complete discretion decide whether or not to consent to the variation proffered by VQIRT.
- 12.18 If the independent expert decides that a variation is not necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking, the ACCC's Variation Notice lapses.
- 12.19 The independent expert's decision will be final and binding on VQIRT and VQIRT must take all steps to ensure that the independent expert's decision is fulfilled or otherwise given effect to.
- 12.20 Nothing in this clause 12 prevents the ACCC from investigating a potential breach of this Undertaking or from applying to the Court for orders pursuant to s87B of the Act in respect of a breach of this Undertaking at any time.

13. Information

- 13.1 The ACCC may direct VQIRT in respect of its compliance with this Undertaking to, and VQIRT must:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;

- (b) produce documents and materials to the ACCC within VQIRT's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 13.2 Any direction made by the ACCC under clause 13.1 will be notified to VQIRT, in accordance with clause 20.2.
- 13.3 In respect of VQIRT's compliance with this Undertaking or an Approved Independent Auditor's compliance with its Approved Terms of Appointment, the ACCC may request any Approved Independent Auditor to:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Approved Independent Auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 13.4 VQIRT will use its best endeavours to ensure that an Approved Independent Auditor complies with any request from the ACCC in accordance with clause 13.3.
- 13.5 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 13 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 13.6 The ACCC may in its discretion to be exercised in good faith:
 - (a) advise any Approved Independent Auditor of any request made by it under this clause 13; and/or
 - (b) provide copies to any Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this clause 13.
- 13.7 Nothing in this clause 13 requires the provision of information or documents in respect of which VQIRT has a claim of legal professional or other privilege.

14. Disclosure of this Undertaking

- 14.1 Within 5 Business Days of the Commencement Date, VQIRT will publish a copy of this Undertaking on its website.
- 14.2 VQIRT acknowledges that the ACCC may:
 - (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.

15. Obligation to procure, direction to VQIRT personnel and assistance from Related Bodies Corporate

- 15.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of VQIRT to take or refrain from taking some action, VQIRT must procure that Related Body Corporate to take or refrain from taking that action.
- 15.2 As soon as practicable after the Commencement Date, VQIRT must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with VQIRT's obligations under this Undertaking.
- 15.3 VQIRT must ensure that any Related Body Corporate provides all necessary assistance and information so that VQIRT is in a position to comply with any:
- (a) direction from the ACCC under clause 13.1; or
 - (b) request from the Approved Independent Auditor in accordance with clause 9;
- for the purposes of the ACCC or the Approved Independent Auditor (as applicable) investigating VQIRT's compliance with clause 7.
- 15.4 Nothing in this Undertaking prohibits:
- (a) VQIRT Personnel from being employed, appointed or engaged by an Approved Terminal Operator; or
 - (b) the Personnel of an Approved Terminal Operator from being employed, appointed or engaged by VQIRT.

16. No derogation

- 16.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by VQIRT of any term of this Undertaking.
- 16.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that VQIRT does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

17. Change of Control of VQIRT's business

- 17.1 In the event that a Change of Control of VQIRT's business is expected to occur before the expiry or withdrawal of this Undertaking in accordance with clause 4 VQIRT must:
- (a) notify the ACCC of this expectation; and
 - (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on VQIRT pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified VQIRT in writing that a section 87B undertaking under this clause is not required.

18. Resolving inconsistencies

- 18.1 To the extent there are any inconsistencies between this Undertaking and the Terminal Licence as regards VQIRT's obligations pursuant to this Undertaking, this Undertaking prevails.

19. Costs

- 19.1 VQIRT must pay all of its own costs incurred in relation to this Undertaking.

20. Notices

Giving notice

- 20.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Mergers and Authorisation Review Division

With a copy sent to:

Email address mergersucu@accc.gov.au
Attention: Director, Undertakings Compliance Unit
Coordination and Strategy Branch
Mergers and Authorisation Review Division

- 20.2 Any notice or communication to VQIRT pursuant to this Undertaking must be sent to:

Name: Victoria Quay International RoRo Terminal Pty Ltd
Address: C/- 1-7 Link Way
Laverton North VIC 3026
Email address: Ryo.Fukuyama@2wglobal.com
Attention: Mr Ryo Fukuyama
Head of Legal & Compliance, Asia Pacific

When a notice is received

- 20.3 If sent by post, notices are taken to be received 3 Business Days after posting (or 7 Business Days after posting if sent to or from a place outside Australia).
- 20.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 20.5 VQIRT must notify the other party of a change to its contact details within 3 Business Days.
- 20.6 Any notice or communication will be sent to the most recently advised contact details and subject to clause 20.3 and 20.4, will be taken to be received.

21. Definitions

ACCC means the Australian Competition and Consumer Commission.

Access Licence Agreement means an agreement between VQIRT and a Licensee under which the Licensee is supplied the Access Services by VQIRT.

Access Services means the right to use the Terminal to provide all or part of the Terminal Services, and any associated rights, benefits and privileges necessary or desirable to permit a Licensee to provide all or part of the Terminal Services.

Act means the *Competition and Consumer Act 2010* (Cth).

Ad Hoc Audit Notice has the meaning given in clause 11.5 of this Undertaking.

Amendment Notice has the meaning given in clause 12.4 of this Undertaking.

Applicant means any stevedore, Mooring Service provider, PDI Operator or any other user seeking Access Services.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person appointed under clause 9 of this Undertaking.

Approved Terminal Operator means a Related Body Corporate of VQIRT which operates an automotive and/or RoRo terminal in Australia and has given an undertaking to the ACCC in relation to its operation of that terminal in substantially similar terms to this Undertaking. At the time this Undertaking was accepted, Melbourne International RoRo & Auto Terminal Pty Ltd ACN 163 814 364 was an Approved Terminal Operator.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given in clause 9.11 of this Undertaking.

Authorised Person means:

- (a) VQIRT Personnel and the Personnel of an Approved Terminal Operator and, subject to paragraph (b) directly below, excludes any person who is involved in or provides services to a Related Body Corporate of VQIRT which is not an Approved Terminal Operator;
- (b) Personnel of any Related Body Corporate of VQIRT who are responsible for providing I.T. support and troubleshooting services to VQIRT; and
- (c) any other person or class of persons approved by the ACCC in writing from time to time.

Berths means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in Perth.

Charges means the fees or charges payable by a Licensee to VQIRT for the Access Services which must (at a minimum) be separated into discrete fees and charges payable for each category of Access Services (or any material part thereof).

Change of Control means:

- (a) the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of VQIRT to any other person or entity in circumstances where, as a result of that assignment or transfer, VQIRT will or may be unable to comply with this undertaking in whole or in part; or
- (b) the sale or transfer of assets necessary, or which may be necessary, to enable VQIRT to comply with this undertaking in its entirety, in circumstances where, as a result of that sale or transfer, VQIRT will or may be unable to comply with this undertaking in whole or in part.

Commencement Date has the meaning given in clause 3.1 of this Undertaking.

Comparable Cargo means cargo which is similar in nature, type, size or volume.

Compliance Report has the meaning given in clause 8.1 of this Undertaking.

Confidential Information means information provided by a Terminal User in relation to the business of that Terminal User which is:

- (a) by its nature confidential, including but not limited to information about that Terminal User's cargo manifests, cargo descriptions, cargo markings, cargo mix/volumes, cargo origin and destinations, overseas and local customer details, terminal expenditure/cost information; or
- (b) designated to be confidential by the Terminal User who supplied it; or
- (c) known, or ought reasonably to be known, by VQIRT to be confidential or commercially valuable,

but excludes information that:

- (d) is comprised solely of the name, address, and contact details of a Terminal User for the sole purpose of allowing VQIRT to comply with requirements of the Open Access Conditions, where those details are to be published on VQIRT's website;
- (e) was in the public domain at the time when it was supplied;
- (f) subsequently becomes available other than through a breach of confidence or breach of this Undertaking;
- (g) was in the lawful possession of VQIRT prior to being provided by the Terminal User; or
- (h) ceases to be confidential in nature by any other lawful means.

Confidentiality Policy has the meaning given in clause 7.11 of this Undertaking.

Corporations Act means the *Corporations Act 2001* (Cth).

Dispute Applicant means a person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Establishment Audit has the meaning given in clause 9.12 of this Undertaking.

Financial Year means a financial year ending 30 June.

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

Independent Price Expert means the person appointed under clause 10 of this Undertaking.

KPI means the key performance indicators set out in Schedule 3 of this Undertaking.

Licensee means any stevedore, Mooring Service provider, PDI Operator or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with VQIRT.

Non-Price Dispute Resolution Process means the non-price dispute resolution process established by VQIRT and set out in Schedule 6 of this Undertaking and as amended from time to time in accordance with clause 11.3 of this Undertaking.

Mooring Services means the mooring and unmooring of vessels at the Berths.

Open Access Conditions are the conditions contained in Schedule 1 of this Undertaking

PDI Operator Services means the undertaking of pre-delivery inspection activities at the Terminal.

Personnel means, in relation to a party, that party's officers, employees, agents and contractors who work in or exercise management oversight over or responsibility for that party.

Port Manager means the owner and/or manager of the Port of Fremantle from time to time, being initially Fremantle Ports.

Price Dispute Resolution Process means the price dispute resolution process established by VQIRT and set out in Schedule 5 of this Undertaking, and as amended from time to time in accordance with clause 10.2 of this Undertaking.

Proposed Independent Auditor Notice has the meaning given in clause 9.2 of this Undertaking.

Proposed Independent Expert has the meaning given in clause 12.8(b) of this Undertaking.

Proposed Independent Price Expert means the prospective independent price expert identified by VQIRT who will, subject to approval by the ACCC, determine all Price Disputes for all Dispute Applicants for the forthcoming Financial Year.

Proposed Independent Price Expert Notice has the meaning given in clause 10.3 of this Undertaking.

Proposed Transaction has the meaning given in clause 2.4 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Qualified Terminal means an automotive and/or RoRo terminal in Australia operated by an Approved Terminal Operator. At the time this Undertaking was accepted, the automotive terminal at Webb Dock West within the Port of Melbourne was a Qualified Terminal.

Qualified Terminal Services means any "access services" and "terminal services", as those terms are defined in the relevant undertaking provided to the ACCC by the Approved Terminal Operator, which are supplied at a Qualified Terminal.

Related Body Corporate has the meaning given in section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Stevedoring Services means the loading and unloading of vessels at the Berth and transfer of cargo to the Terminal.

Terminal means the automotive terminal operated by VQIRT and located at Victoria Quay, Fremantle, Western Australia.

Terminal Layout Plan means a plan of the Terminal showing the names and boundaries of the designated storage areas for import cargo. The Terminal Layout Plan must contain at least 4 separate storage areas and may be varied by VQIRT from time to time, provided that any variation is consistent with the objective of KPI 4 and there remain at least 4 separate storage areas in the Plan for import cargo (unless the ACCC otherwise agrees).

Terminal Lease means the deed between the Port Manager and VQIRT under which the Port Manager grants a lease to VQIRT in respect of land for operation of the Terminal.

Terminal Licence means the deed between the Port Manager and VQIRT under which the Port Manager grants VQIRT the right to develop, operate and provide services at the Terminal.

Terminal Services means:

- (a) Mooring Services, PDI Operator Services and Stevedoring Services; and
- (b) any other services of a kind offered by VQIRT to its Related Bodies Corporate or third parties, including shipping lines, importers and exporters.

Terminal User means:

- (a) any shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with VQIRT.

Terminal Dispute means a bona fide commercial complaint or dispute raised in accordance with the Non-Price Dispute Resolution Process or Price Dispute Resolution Process published by VQIRT from time to time.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Variation Dispute has the meaning given in clause 12.8 of this Undertaking.

Variation Dispute Notice has the meaning given in clause 12.8 of this Undertaking.

Variation Notice has the meaning given in clause 12.5 of this Undertaking.

Vessel Details means vessel name, voyage number, estimated time of arrival at Terminal, receiving, cut-off and delivery dates for vessels arriving at the Terminal.

VQIRT means Victoria Quay International RoRo Terminal Pty Ltd ACN 167 888 646.

VQIRT Compliance Officer means the person referred to in clause 7.5 of this Undertaking.

WWL means Wallenius Wilhelmsen Logistics AS.

22. Interpretation

22.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes a company over which that company is in a position to exercise control within the meaning of section 50AA of the Corporations Act;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or

- (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with clause 22.1(m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, VQIRT will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Executed as an Undertaking

Executed by Victoria Quay International RoRo Terminal Pty Ltd ACN 167 888 646 pursuant to section 127(1) of the *Corporations Act 2001* by:



Signature of director

Kim Edgar Buoy

Name of director

30 MARCH 2015

Date



Signature of a director

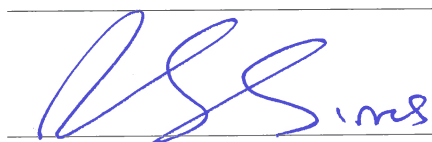
Patricia Ann Biszewski

Name of a director

30 MARCH 2015

Date

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* on:



And signed on behalf of the Commission:

Chairman

1/4/15

Date 2/4/15

Date

Schedule 1 Open Access Conditions

1. Definitions

In this Schedule 1, terms are defined as set out in clause 21 of this Undertaking, unless specified as follows:

Applicant means any stevedore, Mooring Service provider, PDI Operator or any other user seeking Access Services.

Licence Application Form means the application form the Operator requires Applicants to complete in order to apply for Access Services to provide Mooring Service, PDI Operator Services, Stevedoring Services and any other Terminal Service (as the case may be).

Operator means Victoria Quay International RoRo Terminal Pty Ltd 167 888 646.

2. No discrimination or hindering access

- (a) The Operator must offer Access Services to an Applicant on terms no less favourable than terms offered to a Licensee for Access Services to conduct comparable Terminal Services.
- (b) The Operator must not discriminate between different Applicants and Licensees in offering and providing Access Services to conduct comparable Terminal Services.
- (c) The Operator must not engage in conduct for the purpose of preventing or hindering Access Services to conduct Terminal Services by any Applicant or Licensee.
- (d) The Operator must not discriminate between different persons in offering and providing Terminal Services directly to third parties.

3. Eligibility requirements

The Operator must ensure that every Applicant can demonstrate, to the Operator's reasonable satisfaction, that the Applicant:

- (a) is solvent;
- (b) has a legal ownership structure with a sufficient capital base and assets of value to meet the actual potential liabilities under an agreement for the supply of Access Services, including the ability to pay any charges when they fall due;
- (c) is able to provide credit support; and
- (d) has in place appropriate occupational health and safety standards.

4. Operator obligations

- (a) The Operator must publish on its website:
 - (i) the Licence Application Form;
 - (ii) current Charges for each Access Service;
 - (iii) the terms and conditions on which Access Services are offered;

- (iv) the process for assessing and approving an application by an Applicant and executing an Access Licence Agreement, including timeframes, the price review mechanism and a dispute resolution mechanism;
 - (v) full details of the Price Related Dispute Resolution Process and Non-Price Dispute Resolution Process; and
 - (vi) entity names and ABNs of each Licensee.
- (b) The Operator must negotiate in good faith for the provision of Access Services.
 - (c) The Operator must provide unsuccessful Applicants with a statement of reasons for the decision, and provide a copy to the Port Manager.
 - (d) The Operator must supply Access Services at prices no greater than the then current Charges payable for the Access Services.

5. Complaints and requests for information

- (a) The Operator must notify the Port Manager within two Business Days after the date of receiving:
 - (i) a complaint from any person in relation to Access Services;
 - (ii) a request or inquiry from the Australian Competition and Consumer Commission concerning a complaint about the Operator's compliance with this Undertaking, and including a request for information or documents under the Competition and Consumer Act 2010 (Cth) or this Undertaking.
- (b) The Operator must co-operate with the Port Manager in the resolution of complaints by any person in relation to Access Services or responding to inquiries or requests by the Australian Competition and Consumer Commission.
- (c) The Operator must co-operate with the Australian Competition and Consumer Commission in relation to any inquiries or requests, including requests for information or documents.

6. Charges

At least 60 days before the end of each financial year ending 30 June, the Operator must:

- (a) publish on its website the proposed Charges applicable for the next financial year;
- (b) provide written notice of the proposed Charges applicable for the next financial year to each Licensee and any other person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal who has informed VQIRT in writing that they wish to be notified of changes to Charges; and
- (c) include on its website and in the notice referred to in this paragraph, a requirement that any person who disputes the proposed Charges, may do so in accordance with the Price Dispute Resolution Process and must notify the Operator in writing of the dispute at least 45 days before the end of the financial year.

Schedule 2 VQIRT Confidentiality Policy



Confidentiality Policy

Victoria Quay International RoRo Terminal Pty Ltd

30 MARCH 2015

1 OVERVIEW

1.1 Background

Victoria Quay International RoRo Terminal Pty Ltd (**VQIRT**) operates the automotive terminal at Victoria Quay, Fremantle (**Terminal**).

Confidential Information provided to VQIRT is ring-fenced and is accessible to VQIRT's officers, employees, agents and contractors on a need-to-know basis.

VQIRT has developed this Confidentiality Policy to provide guidance on how Confidential Information must be treated and the limited circumstances in which it can be disclosed.

It is the obligation of all officers, employees, agents and contractors to safeguard Confidential Information in VQIRT's possession and to hold that information in the strictest confidence

You should speak to the VQIRT Compliance Officer if you have any questions about your obligations under this Confidentiality Policy.

Nothing in this Confidentiality Policy obliges any person to act in a manner contrary to the law.

1.2 Scope of this Confidentiality Policy

This Confidentiality Policy has been developed to help guide our business conduct and ensure that VQIRT complies with its legal obligations in respect of Confidential Information.

All VQIRT officers, employees, agents and contractors must comply with this Confidentiality Policy.

This Confidentiality Policy governs use of the following types of Confidential Information:

- **VQIRT Confidential Information** which is Confidential Information that belongs to VQIRT (e.g. management reports, contracts); and
- **Terminal User Confidential Information** which is Confidential Information that has been provided to VQIRT by a Terminal User (e.g. cargo manifests, consignee details).

VQIRT may also be subject to other specific confidentiality obligations in relation to information provided by other third parties. You should speak to the VQIRT Compliance Officer about information provided to VQIRT by other third parties (e.g. Fremantle Ports, software providers).

2 VQIRT'S COMMITMENT TO COMPLIANCE

2.1 Purpose of this Confidentiality Policy

VQIRT has developed this Confidentiality Policy to ensure that:

- the correct information is available to those VQIRT Personnel who need it, when they need it;
- you understand how Confidential Information is to be treated and what VQIRT's obligations are;
- appropriate procedures are in place to maintain and protect the confidentiality of certain Confidential Information in VQIRT's possession;
- VQIRT only uses Confidential Information for permitted purposes;
- certain Confidential Information provided by users of the Terminal is not disclosed to any Related Bodies Corporate of VQIRT which are users of the Terminal (e.g. WWL's ocean shipping business);
- the risk of any potential conflict of interest with Related Bodies Corporate of VQIRT is eliminated or minimised; and
- VQIRT complies with the provisions of the *Competition and Consumer Act 2010* (Cth).

2.2 VQIRT's commitment to compliance

Compliance with VQIRT's policies and Australian laws applicable to our business is a key responsibility for everyone who works at VQIRT. It is therefore of utmost importance to protect and secure Confidential Information against potential threats.

In addition to VQIRT's general law obligations, VQIRT has legally enforceable confidentiality commitments concerning Terminal User Confidential Information pursuant to any *Confidentiality Deed Poll* executed in favour of Terminal Users and an *Enforceable Undertaking* given to the Australian Competition and Consumer Commission (ACCC). Copies of any *Confidentiality Deed Poll* and the *Enforceable Undertaking* can be found on VQIRT's intranet and website.

If Confidential Information is disclosed to inappropriate persons, is unavailable or unreliable, VQIRT could suffer serious losses. VQIRT's good reputation is also directly linked to the way both information and information systems are managed.

This Confidentiality Policy will assist you to understand VQIRT's legal obligations in respect of Confidential Information, including VQIRT's obligations under the *Enforceable Undertaking* given to the ACCC. VQIRT will provide compliance training when you commence employment with VQIRT which will explain your responsibilities and the requirements of this Confidentiality Policy. Ongoing compliance training will also be conducted annually.

2.3 Management responsibilities

VQIRT's Managing Director and the management team are responsible for:

- providing each VQIRT officer, employee, agent and contractor with a copy of this Confidentiality Policy;
- annual compliance training to explain the requirements of this Confidentiality Policy;

- monitoring compliance with this Confidentiality Policy and taking steps to ensure it is observed; and
- ensuring that Confidential Information is only disclosed or made available to persons with a need to know in accordance with this Confidentiality Policy.

3 CONFIDENTIAL INFORMATION

3.1 What is "Confidential Information"?

Confidential information means any information which is by its nature commercially or competitively sensitive, which is known to be commercially or confidentially sensitive, or which ought to be known to be commercially or competitively sensitive.

Confidential Information also includes information which is marked as confidential by the provider of that information or by VQIRT management.

Example: Confidential Information includes information about a particular Terminal User's:

- cargo manifests
- cargo descriptions
- cargo markings
- cargo mix/volumes
- cargo origin and destinations
- overseas and local customer details
- terminal expenditure/cost information

Confidential Information does *not* include information which was in the public domain at the time it was supplied to VQIRT, was in the lawful possession of VQIRT prior to being provided by a Terminal user, or ceases to be confidential in nature by other lawful means.

Important: You should consult the VQIRT Compliance Officer if you are unsure about whether information is Confidential Information.

3.2 Identifying Confidential Information

Any party who provides VQIRT with information will be responsible for identifying what information is Confidential Information.

VQIRT's management will be responsible for identifying what information is Confidential Information and, where appropriate, what information within that Confidential Information is Terminal User Confidential Information.

Information that is Confidential Information or Terminal User Confidential Information must be, when identified, appropriately marked or designated in a way that makes it clear that such information is Confidential Information and/or Terminal User Confidential Information.

3.3 Classification of information

To assist you comply with this Confidentiality Policy, in cases where it is necessary to restrict information access, the following classification levels (1 to 4) shall apply:

1 Open / Public

- Information is open to all.
- Example: Press releases, public information.
- Information may be published on the Internet or any other public domain.

2 Company restricted

- Information is limited to VQIRT officers, employees, agents and contractors.
- Company restricted information may be published on the Intranet or in other internal publications, notes and minutes.
- Example: "Normal" working documents and project/meeting protocols and internal telephone books.

3 Confidential

- Information is limited to specific users, VQIRT functions and specific customers.
- *Example:* personnel information, accounting data, customer data, sensitive projects and vendor contracts.

4 Secret

- Extremely sensitive company information limited to named users. Specific access approval must be obtained.
- *Example:* Strategic proposals, information about security, major pending contracts, reorganisation or financial transactions.

4 ACCESS TO CONFIDENTIAL INFORMATION

4.1 Who can access Confidential Information?

Confidential Information can only be accessed and used by certain authorised persons.

You can only access Terminal User Confidential Information if you are an officer, employee, agent or contractor who works in or exercises management oversight over or responsibility for VQIRT or MIRRAT and you do not work for or provide services to WWL or any Related Body Corporate of WWL (other than MIRRAT).

Disclosure of Confidential Information to:

- MIRRAT is permitted only to the extent necessary to provide Access Services, Terminal Services and/or Qualified Terminal Services to the Terminal User who provided the Confidential Information (provided that MIRRAT keeps that information confidential); and

- group I.T. support personnel and contractors is permitted to the extent necessary for those personnel to provide I.T. support and troubleshooting services to VQIRT. I.T. support personnel are bound by confidentiality obligations.

Confidential Information cannot otherwise be accessed by any of VQIRT's Related Bodies Corporate.

The following access controls exist to safeguard Confidential Information:

1 Physical access controls

Physical access to VQIRT's premises shall be restricted to VQIRT's officers and employees. Agents, contractors and consultants may be given limited access as appropriate. Employees shall always accompany visitors.

Sensitive locations such as computer rooms or areas containing Confidential Information shall be restricted to employees on an as-need basis. Only the manager responsible should grant access.

2 Information access controls

Access to Confidential Information shall be limited in accordance with the security classification. Physically available information classified as confidential or higher shall be kept in a lockable or password protected device.

Digitally represented information classified as "Company restricted" or higher shall be protected by a password. Information classified as "Confidential" or higher shall be stored in a secure lockable area (i.e. central computer room).

3 Application access controls

Although the information accessed through certain applications may not be classified, application access shall only be granted on a need basis.

Data fields within applications shall as far as possible be protected from unintentional modifications. This may mean implementing read-only access restrictions.

Only applications acquired/authorised and installed by VQIRT or authorised parties shall be deployed on VQIRT computer equipment.

4 Network access controls

Only computer equipment controlled by VQIRT shall be connected directly to VQIRT's network.

VQIRT officers, employees, agents and contractors shall not try to access information or information systems that are not intended for their use.

All passwords and access keys shall be given on an individual basis in order to enable individual treatment. Under no circumstances shall IDs or passwords be shared with others.

4.2 Permitted use of Confidential Information

If you have access to any Confidential Information which is:

- **VQIRT Confidential Information**, you must use that Confidential Information solely for the purpose of conducting VQIRT's Terminal business and providing services required by Terminal Users;

- **Terminal User Confidential Information**, you must only use that Confidential information for the purpose of providing Access Services, Terminal Services and/or Qualified Terminal Services to that Terminal User or to resolve a Terminal Dispute.

If you need to use any Confidential Information for another purpose, VQIRT must obtain the consent of the provider of that Confidential Information.

VQIRT officers, employees, agents and contractors must not use any Confidential Information to gain an advantage for themselves or any Related Body Corporate of VQIRT.

4.3 Can you disclose Confidential Information?

You must keep all Confidential Information in strict confidence and not disclose or cause or permit the disclosure of that Confidential Information to any other person without the consent of the provider, unless it is done so in accordance with section 5.3 of this Confidentiality Policy.

Important: You must obtain the approval of the VQIRT Compliance Officer before disclosing any Confidential Information.

5 DISCLOSURE OF CONFIDENTIAL INFORMATION

5.1 No disclosure to certain related entities

In no circumstances can any Confidential Information of any other Terminal User be disclosed to Related Bodies Corporate of VQIRT who are Terminal Users, or proposed users of the Terminal. This includes WWL's ocean shipping business.

You must not discuss, provide access to or disclose any Confidential Information of another Terminal User to WWL's ocean shipping business

If anyone from WWL's ocean shipping business contacts you to request Confidential Information about another Terminal User, you must notify the VQIRT Compliance Officer immediately.

5.2 Disclosure to MIRRAT

Confidential Information of a Terminal User can be disclosed to MIRRAT to the extent it is necessary to do so for MIRRAT to provide Qualified Terminal Services to the Terminal User at the Melbourne International RoRo and Automotive Terminal at Webb Dock West within the Port of Melbourne.

However, if you leave your employment at VQIRT and are employed or engaged by MIRRAT, you must not to the extent permitted by law disclose to any person other than MIRRAT any Terminal User Confidential Information you have received during your employment with VQIRT.

5.3 Disclosure in limited circumstances

If you have access to Confidential Information you must not disclose that Confidential Information without the consent of the provider of that Confidential Information.

Some limited exceptions apply. VQIRT may disclose Confidential Information without the consent of the provider:

- which comprises a vessel name, voyage number, estimated time of arrival at Terminal, receiving, cut-off and delivery dates for vessels arriving at the Terminal (including publication on its website from time to time);
- to the extent necessary for the provision of advice from legal advisers, financiers, accountants or other consultants or professional advisers, or notifications required to brokers, insurers, claims assessors, provided that the person to whom the disclosure is made is under a legal obligation to keep the information confidential;
- to any mediator, expert or arbitrator to the extent necessary for the purpose of resolving a Terminal Dispute;
- to the ACCC or other government agency to the extent necessary to comply with any written request by that agency;
- to Fremantle Ports where VQIRT is under a legal obligation to do so;
- where required by law, provided that, where permissible, VQIRT first consults with the Terminal User that provided the Confidential Information; and
- to the extent the disclosure is reasonably required to protect the safety or security of persons or property or in connection with an emergency.

Important: You must obtain the approval of the VQIRT Compliance Officer before disclosing any Confidential Information in accordance with this section 5.3.

5.4 Record of disclosure

VQIRT is required to maintain a record of any Confidential Information of a Terminal User that is disclosed in accordance with sections 5.2 and 5.3 of this Confidentiality Policy.

It is important that you obtain the approval of the VQIRT Compliance Officer before disclosing any Confidential Information so that an appropriate record can be made.

5.5 Guidelines for reporting to VQIRT's shareholders

VQIRT's management team is responsible for the day to day management of VQIRT and for implementing the direction and strategy set by the Board.

From time to time, VQIRT's shareholders will require sufficient information for them to make decisions in relation to matters concerning VQIRT's business, including:

- VQIRT's financial performance and financial position;
- the financing and capital structure of VQIRT;
- annual budgets, including capital and operating expenditure and approvals of expenditures and liabilities outside the budget of the VQIRT business;
- the appointment of or change of auditors of VQIRT;
- commencing, defending or settling claims of or against VQIRT;
- ensuring that VQIRT is complying with all applicable laws; and

Subject always to section 5, any reporting to VQIRT's shareholders should:

- only relate to matters concerning their equity interest in VQIRT;

- be provided to those shareholders for use in their capacity as shareholder; and
- to the extent it is necessary to disclose information about Terminal Users, that information should be in aggregated and summary form provided in a manner that:
 - does not disclose Confidential Information about the assets, business or affairs of particular Terminal Users; and
 - cannot reasonably be, and is not reasonably capable of being, identified with, attributed to or used to identify any Terminal User.

Important: You should consult the VQIRT Compliance Officer if you are unsure about what information can be disclosed to VQIRT's shareholders.

6 GENERAL

6.1 Monitoring and consequences of non-compliance

Security measures will be put in place in order to monitor and prevent potential security risks. VQIRT will monitor and log access to Terminal User Confidential Information stored on its I.T. systems. Monitoring shall be in adherence with local laws and regulations.

Failure to strictly adhere to this Confidentiality Policy could result in VQIRT breaching its legal obligations under the:

- *Competition and Consumer Act 2010 (Cth)*;
- Enforceable Undertaking given to the ACCC;
- any Confidentiality Deed Poll executed by VQIRT; and
- Contract with Fremantle Ports, which could provide Fremantle Ports with the right to operate the Terminal.

The consequences for VQIRT are serious including the possibility of court action, financial loss, reputational damage and loss of its rights to operate the Terminal.

Any Personnel found to have violated this Confidentiality may be subject to disciplinary action, up to and including termination of employment.

6.2 Inadvertent disclosure of Confidential Information

If you become aware of any disclosure of Confidential Information (inadvertent or otherwise) in breach of this Confidentiality Policy, you must notify the VQIRT Compliance Officer immediately.

The VQIRT Compliance Officer will investigate the suspected breach and document the outcome of his or her investigation, including an steps taken to mitigate the impact of the disclosure.

6.3 Destruction of Confidential Information

The provider of Confidential Information may request that VQIRT return, destroy or delete Confidential Information which they have provided to VQIRT. You should speak with the VQIRT Compliance Officer if you receive any such request.

Where Confidential Information is destroyed, it must be destroyed in a secure manner so as not to lead to inadvertent disclosure in breach of this Confidentiality Policy. You should speak with the VQIRT Compliance Officer before destroying any Confidential Information.

6.4 Definitions

Access Licence Agreement means an agreement between VQIRT and a Licensee under which the Licensee is supplied the Access Services by VQIRT.

Access Services means the right to use the Terminal to provide all or part of the Terminal Services, and any associated rights, benefits and privileges necessary or desirable to permit a Licensee to provide all or part of the Terminal Services.

Confidential Information has the meaning given in section 3.1.

Fremantle Ports means the Fremantle Port Authority.

Licensee means any stevedore, mooring service provider, PDI operator or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with VQIRT.

MIRRAT means Melbourne International RoRo & Auto Terminal Pty Ltd ABN 43 163 814 364.

Personnel means, in relation to a party, that party's officers, employees, agents and contractors who work in or exercise management oversight over or responsibility for that party.

Qualified Terminal Services means any "access services" and "terminal services", as those terms are defined in the undertaking provided to the ACCC by MIRRAT, which are supplied by Melbourne International RoRo & Auto Terminal at Webb Dock West within the Port of Melbourne.

Related Body Corporate has the meaning given to that term in the *Corporations Act 2001* (Cth).

Terminal has the meaning given to that term in section 1.1.

Terminal Services means:

- a mooring services, PDI operator services and stevedoring services; and
- b any other services of a kind offered by VQIRT to its Related Bodies Corporate or third parties, including shipping lines, importers and exporters.

Terminal User means:

- a any shipping line using the Terminal; or
- b any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with VQIRT.

Terminal User Confidential Information has the meaning given to that term in clause 1.2.

Terminal Dispute means a bona fide commercial complaint or dispute raised in accordance with the Non-Price Dispute Resolution Process or Price Dispute Resolution Process published by VQIRT from time to time.

VQIRT means Victoria Quay International RoRo Terminal Pty Ltd ACN 167 888 646.

VQIRT Compliance Officer means the compliance officer designated by VQIRT who is responsible on a day to day basis for monitoring VQIRT's compliance with its confidentiality obligations contained in its undertaking to the ACCC.

VQIRT Confidential Information has the meaning given to that term in clause 1.2.

Schedule 3 Key Performance Indicators

See clause 8 of this Undertaking for VQIRT's comparative reporting obligations on each of the following KPIs.

VQIRT will report against these KPIs. The purpose of KPI reporting under this Undertaking is to monitor VQIRT's compliance with its obligations in this Undertaking. The KPIs are therefore undertaking compliance tools, and will not be used to measure the performance of individual terminal users.

KPI	Purpose	Objective	Calculation of KPI
1. Truck turnaround time	Measure delays by reporting on the average time trucks are spending at the terminal picking up or delivering cargo. This will be influenced by the storage location of the relevant cargo at the Terminal.	30 Minutes	Average time spent at the Terminal picking up or delivering cargo, measured from the time the truck enters the Terminal gate to the time when the truck departs the Terminal through the Terminal gate, for: (a) Automobiles (b) Break bulk cargo (including high and heavy cargo)
2. Yard dwell time, imports	Measure average time import cargo units stay at the Terminal waiting for pick up, once the cargo is ready to be picked up.	2.5 days	Average time cargo units stay at the Terminal measured from announced time for pick-up to actual pick-up. The announced time is based on the earliest practical time it is possible for a truck to safely enter a nominated cargo pick up area in the Terminal after the completion of vessel discharge operations, assuming all import documentation and clearances are complete.

KPI	Purpose	Objective	Calculation of KPI
3. Yard dwell time, exports	Measure average time export cargo units stays at the Terminal waiting to be loaded onto a vessel, once the cargo is ready be loaded.	4 days	Average time cargo units stay at the terminal measured from actual time of delivery to announced cut-off time. The announced cut-off time is based on the latest practical time it is possible for a truck to safely enter a nominated cargo drop off area in the Terminal before the commencement of vessel load operations, assuming all export documentation and clearances are complete.
4. Allocation of first point of rest area	Measure location of first point of rest for cargo	Non-discriminatory allocation of first point of rest, irrespective of owner/shipper	Data showing for each cargo shipment: (a) berth allocated to vessel by Fremantle Ports; and (b) allocated storage area in the Terminal Layout Plan for the cargo's first point of rest.
5. Equipment availability	Measure availability of requested VQIRT equipment allocated to stevedore or shipping line at the Terminal	100% of demand meet	Deviation between VQIRT equipment requested by stevedore or shipping line and actual machinery provided (including standard of equipment, type and capacity) to stevedore or shipping line. Note: KPI applies to equipment at the Terminal which is owned or controlled by VQIRT and offered for use to stevedores or shipping lines.
6. Mechanical support	Measure quality and reliability of mechanical support for VQIRT equipment at the Terminal	Mechanical support for all Terminal Users	Average lost time in excess of 1 hour due to failure of VQIRT in providing mechanical breakdown support. Reported from time Mechanical Engineer officially notified to issue resolved (in total hours). Note: Excludes any faults or break-down caused or contributed to by the relevant Terminal User.

KPI	Purpose	Objective	Calculation of KPI
7. Cargo dwell time over free time/ long term storage	Measure time cargo units stay over free time, excluding Customs, DAFF and customer hold. Customer hold is storage beyond free time which is requested by the customer, arising from an arm's length commercial agreement between the customer and VQIRT.	95% of cargo units picked up or delivered within free time period	(a) Total cargo units (b) Number of cargo units which stay over free time. (c) Number of cargo units which stay over free time due to Customs, DAFF or customer hold (d) Number of cargo units which stay over free time (excluding Customs, DAFF or customer hold) as a percentage of total cargo units: [(b)-(c)] divided by (a)
8. Confidentiality and Ring Fencing	Measure VQIRT's compliance with clause 7 of the Undertaking	100% compliance	- Number of and type of complaints received concerning non-compliance with clause 7 - Number of instances of breaches of clause 7. - VQIRT's response to the reported complaints and breaches.
9. Complaints	Measure the number and type of complaints raised in order to facilitate the ACCC's review of the terms of this Undertaking in determining whether the Undertaking is meeting its objectives set out in clause 2 for the term of this Undertaking.	Minimise complaints	- Number and type of complaints raised under the Price Dispute Resolution Process and Non-Price Dispute Resolution Process. - Outcomes of the complaints raised.

Schedule 4 Proposed Independent Auditor Notice

This form sets out the information required by the ACCC in relation to proposed appointment of the independent auditor.

Please note in relation to information given on in relation to this notice, giving false or misleading information is a serious offence.

Method of delivery to the ACCC

The completed Proposed Independent Auditor Notice, along with the additional requested information is to be provided to the ACCC with the subject line "*Proposed Independent Auditor Notice – VQIRT s87B Undertaking*" to the below email addresses:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
 Mergers and Authorisation Review Division

With a copy sent to:

Email address mergersucu@accc.gov.au
Attention: Director, Undertakings Compliance Unit
 Coordination and Strategy Branch
 Mergers and Authorisation Review Division

Information Required

The ACCC requires the following information in order to assess a proposed independent auditor.

1. Proposed independent auditor details
 - (a) the name of the proposed independent auditor; and
 - (b) the name of the proposed independent auditor's employer and contact details including:
 - (i) Address;
 - (ii) Contact name;
 - (iii) Telephone number;
 - (iv) Other contact details.
2. A submission containing the following information:
 - (a) details of the proposed independent auditor's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
 - (b) the names of the [owner/s and the directors (delete any that do not apply)] of proposed independent auditor's employer.
 - (c) details of any of the following types of relationships between VQIRT and the proposed independent auditor or the proposed independent auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:

- (i) VQIRT and the proposed independent auditor's employer are Associated Entities.
- (ii) VQIRT is an Entity Connected with the proposed independent auditor's employer.
- (iii) the proposed independent auditor's employer is an Entity Connected with VQIRT.
- (iv) VQIRT and the proposed independent auditor's employer are Related Entities.
- (v) VQIRT and the proposed independent auditor's employer are Related Parties
- (vi) any Related Party, Related Entity or Entity Connected with VQIRT is a Related Party, Related Entity or Entity Connected with the proposed independent auditor.
- (vii) VQIRT and the proposed independent auditor or the proposed independent auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form.
- (viii) the proposed independent auditor's employer is a supplier of VQIRT or has been in the past three years.
- (ix) VQIRT is a supplier of the proposed independent auditor's employer or has been in the past three years.
- (x) any other relationship between VQIRT and the proposed independent auditor or the proposed independent auditor's employer that allows one to affect the business decisions of the other.

3. A document outlining the terms of appointment for the proposed independent auditor.

The ACCC requires the finalised draft audit plan, drafted by the proposed independent auditor and outlining (to the extent possible) the proposed independent auditor's detailed work plan describing how it intends to monitor VQIRT's compliance with the Undertaking and how it will prepare the plans in regard to the establishment audit and the Audit Report.

Schedule 5 Price Dispute Resolution Process

PRICE RELATED DISPUTE RESOLUTION PROCESS

Victoria Quay International RoRo Terminal Pty Ltd (**VQIRT**) operates the Victoria Quay International RoRo Terminal at Victoria Quay, Fremantle (**Terminal**).

This Price Related Dispute Resolution Process is intended to resolve disputes relating to the prices charged by VQIRT for the supply of Access Services. Non-price related disputes are not governed by these processes.

VQIRT has committed to the ACCC (through a Section 87B Undertaking) and Fremantle Ports to comply with the Open Access Conditions in the performance of its obligations under this Price Related Dispute Resolution Process.

1 OBJECTIVE

- (a) VQIRT publishes Charges for the Terminal on its website.
- (b) VQIRT is committed to setting Charges at levels which are reasonable and appropriate, taking into account the relevant considerations in clause 3.4 and its obligations under the Terminal Licence (to the extent that those obligations are not inconsistent with the terms of the Section 87B Undertaking).
- (c) The Section 87B Undertaking and any Confidentiality Deed Poll which VQIRT has executed in favour of Terminal Users outline how VQIRT will deal with Confidential Information provided by Terminal Users.

2 ANNUAL PRICE REVIEW

2.1 REVIEW OF REFERENCE TARIFFS

VQIRT will conduct an annual review of its Charges and may propose a price increase which it considers reasonable and appropriate, taking into account the relevant considerations in clause 3.4, and provided that VQIRT complies with its obligations under the Terminal Licence in respect of that price increase (to the extent that those obligations are not inconsistent with the terms of the Section 87B Undertaking).

2.2 NOTICE OF PRICE INCREASE

At least 60 days before the end of each Financial Year, VQIRT will provide notice of the proposed Charges applicable for the next Financial Year by:

- (a) giving written notice to:
 - (i) any person who has entered into an Access Licence Agreement; and
 - (ii) any other person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal who has informed VQIRT in writing that they wish to be notified of changes to Charges;
- (b) publishing the proposed Charges and information about this Price Related Dispute Resolution Process (including that a Price Dispute can be raised up until 45 days before the end of the Financial Year) on its website; and
- (c) giving written notice to the Independent Price Expert.

2.3 INFORMATION ABOUT PRICE INCREASE

A notice provided under clause 2.2(a) must contain:

- (a) the amount of the proposed Charges;
- (b) the date on which the proposed Charges will take effect;

- (c) detailed reasons for any proposed price increase;
- (d) information about this Price Related Dispute Resolution Process (including that a Price Dispute can be raised up until 45 days before the end of the Financial Year); and
- (e) the name and contact details of the Independent Price Expert.

2.4 OFFER TO NEGOTIATE

VQIRT will offer to negotiate with any Dispute Applicant who provides or proposes to provide an Objection Notice in relation to a proposed price increase notified under clause 2.2.

2.5 APPROVED PRICE INCREASES

A Price Dispute cannot be raised under clause 3.1 in respect of a proposed price increase or a part of a proposed price increase of which notice has been given in accordance with clause 2.2 which notice discloses that the price increase:

- (a) has been approved or determined by the Independent Price Expert pursuant to clause 3.3; or
- (b) has been approved by Fremantle Ports and will take effect no later than 1 year after the Commencement Date of the Section 87B Undertaking.

3 PRICE DISPUTE

3.1 RAISING A PRICE DISPUTE

- (a) A Dispute Applicant who objects to a proposed price increase may raise a Price Dispute by providing written notice to the Independent Price Expert and VQIRT no later than 45 days before the end of the Financial Year (**Objection Notice**).
- (b) An Objection Notice must set out the Dispute Applicant's reasons for objecting to the proposed price increase.
- (c) By submitting an Objection Notice, the Dispute Applicant agrees to comply with this Price Related Dispute Resolution Process.
- (d) A Dispute Applicant may at any time withdraw an Objection Notice by written notice to VQIRT and the Independent Price Expert, in which case the powers and authority of the Independent Price Expert to make a determination of that Objection Notice under clause 3.3 shall forthwith cease.

3.2 PUBLICATION OF OBJECTION NOTICE

VQIRT will publish a copy of the Objection Notice on its website within 5 days of receipt.

3.3 INDEPENDENT PRICE EXPERT DETERMINATION

- (a) Where the Independent Price Expert has received an Objection Notice, the Independent Price Expert:
- (i) will determine whether VQIRT's proposed price increase:
 - (A) is reasonable and appropriate having regard to the principles listed in clause 3.4; and
 - (B) complies with VQIRT's obligations under the Terminal Licence (to the extent that those obligations are not inconsistent with the terms of the Section 87B Undertaking); and
 - (ii) may accept, reject or vary VQIRT's proposed price increase.
- (b) Any variation of a price increase by the Independent Price Expert under clause 3.3(a)(ii) will not result in a Charge that is:
- (i) higher than the Charges proposed by VQIRT under clause 2.2; or
 - (ii) less than the then current Charges.
- (c) The Independent Price Expert will make his or her determination within:
- (i) the 60 day period referred to in clause 2.2; or
 - (ii) such further period, not being more than 20 days, as the Independent Price Expert in his or her sole discretion requires.
- (d) VQIRT and the Dispute Applicant must provide the Independent Price Expert with any information he or she requires to make a determination under this clause 3.3, within a timeframe reasonably determined by the Independent Price Expert.
- (e) In the event that more than one Objection Notice is received in relation a proposed price increase, the Independent Price Expert will only make a single determination about those Charges or that proposed price increase.
- (f) The Independent Price Expert's decision is final and binding.
- (g) When making a determination under this clause 3.3, the Independent Price Expert is acting as an expert and not as an arbitrator.

3.4 RELEVANT CONSIDERATIONS

In determining whether a Charge is reasonable and appropriate, the Independent Price Expert will have regard to the following principles:

- (a) that Charges should:
- (i) be set so as to generate expected revenue for Access Services that is at least sufficient to meet the efficient costs of providing the Access Services; and
 - (ii) include a return on investment commensurate with the commercial risks involved;

- (b) that Charges should be set taking into account:
- (i) Terminal lease costs and all efficient input costs;
 - (ii) an appropriate allocation of VQIRT's relevant overhead costs;
 - (iii) expected volumes over the period VQIRT has used to calculate the proposed price increase;
 - (iv) depreciation of, and a return on, the prudent level of capital invested by VQIRT at the Terminal, where:
 - (A) depreciation is based on straight line methodology (or a reasonable alternative methodology) and reasonably anticipated asset lives; and
 - (B) the rate of return is based on VQIRT's weighted average cost of capital;
 - (v) the interests of all users of the Access Services for which the proposed Charges relates;
 - (vi) the reasonableness and appropriateness of, and justification for, the existing Charges for the supply of the Access Services; and
 - (vii) any additional pricing principles and conditions imposed by Fremantle Ports in the Terminal Licence, to the extent that those pricing principles and conditions are not inconsistent with the terms of the Section 87B Undertaking and in particular this clause 3.4(a) and 3.4(b)(i)-(vi).
- (c) The structure of Charges may allow multi-part pricing and price discrimination only if, and to the extent that:
- (i) the cost of providing the service is higher, or
 - (ii) it aids efficiency; and
- any multi-part pricing or price discrimination should be transparent.

3.5 NOTICE AND PUBLICATION OF DECISION

- (a) The Independent Price Expert must notify:
- (i) VQIRT; and
 - (ii) any party that lodged an Objection Notice in relation to the proposed price increase,
- of his or her determination under clause 3.3(a)(ii) as soon as practicable after making the determination.
- (b) Within 2 days of receiving the determination, VQIRT must:
- (i) publish the Independent Price Expert's determination on VQIRT's website; and
 - (ii) provide a copy of the Independent Price Expert's determination to the Approved Independent Auditor.
- (c) The cost of the expert determination will be shared equally between VQIRT and the Dispute Applicant, unless the Independent Expert determines or the parties agree otherwise.

- (d) VQIRT and the Dispute Applicant will execute a deed to indemnify the Independent Price Expert against any loss or damage incurred by the Independent Price Expert in the course of carrying out his or her functions in accordance with his or her terms of appointment.

4 DATE PRICE INCREASE TAKES EFFECT

- (a) In the absence of any Objection Notice submitted under clause 3.1, the new price takes effect the date that VQIRT notified under clause 2.2(a) that the proposed price increase would take effect.
- (b) If the Independent Price Expert makes a determination under clause 3.3(a)(ii), then the new price as determined by the Independent Expert takes effect on the date that VQIRT notified under clause 2.2(a) that the proposed price increase would take effect.

5 DEFINITIONS

In this Price Related Dispute Resolution Process, the following meanings will apply (unless the context otherwise indicates):

Access Licence Agreement means an agreement between VQIRT and a Licensee under which the Licensee is supplied the Access Services by VQIRT.

Access Services means the right to use the Terminal to provide all or part of the Terminal Services, and any associated rights, benefits and privileges necessary or desirable to permit a Licensee to provide all or part of the Terminal Services.

Approved Independent Auditor has the meaning given in the Section 87B Undertaking.

Berth means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Charges means the fees or charges payable by a Licensee to VQIRT for the Access Services which must (at a minimum) be separated into discrete fees and charges payable for each category of Access Services (or any material part thereof).

Confidential Information has the meaning given in the Section 87B Undertaking.

Dispute Applicant means a person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Financial Year means a financial year ending 30 June.

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

Independent Price Expert has the meaning given in the Section 87B Undertaking.

Licensee means any stevedore, Mooring Service provider, PDI Operator or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with VQIRT.

Mooring Services means the mooring and unmooring of vessels at the Berths.

Objection Notice has the meaning given in clause 3.1(a).

Open Access Conditions means the conditions set out in Schedule 1 of the Section 87B Undertaking.

PDI Operator Services means the undertaking of pre-delivery inspection activities at the Terminal.

Price Dispute means a bona fide commercial dispute raised by a Dispute Applicant about the proposed increase to a Charge which relates to that Dispute Applicant.

Related Body Corporate has the meaning given to that term in the *Corporations Act 2001* (Cth).

Section 87B Undertaking means the undertaking given by VQIRT to the Australian Competition and Consumer Commission as in force from time to time for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) concerning VQIRT's operation of the Terminal.

Stevedoring Services means the loading and unloading of vessels at the Berth and transfer of cargo to the Terminal.

Terminal Licence means the deed between Fremantle Ports and VQIRT under which Fremantle Ports grants VQIRT the right to develop, operate and provide services at the Terminal.

Terminal Services means:

- (a) Mooring Services, PDI Operator Services and Stevedoring Services; and
- (b) any other services of a kind offered by VQIRT to its Related Bodies Corporate or third parties, including shipping companies, importers and exporters, through its own use of the Terminal.

Terminal User means

- (a) any shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with VQIRT.

Schedule 6 Non-Price Dispute Resolution Process

NON-PRICE RELATED DISPUTE RESOLUTION PROCESS

Victoria Quay International RoRo Terminal Pty Ltd (**VQIRT**) operates the Victoria Quay International RoRo Terminal at Victoria Quay, Fremantle (**Terminal**).

This Non-Price Related Dispute Resolution Process is intended to resolve disputes in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement, other than in relation to the prices charged by VQIRT for the supply of Access Services. Price related disputes are governed by the Price Related Dispute Resolution Process.

VQIRT has committed to the ACCC (through a Section 87B Undertaking) and Fremantle Ports to comply with the Open Access Conditions in the performance of its obligations under this Non-Price Related Dispute Resolution Process.

1 OBJECTIVE

- (a) VQIRT is committed to resolving all Terminal Disputes proactively and constructively.
- (b) The Section 87B Undertaking and any Confidentiality Deed Poll which VQIRT has executed in favour of Terminal Users outline how VQIRT will deal with Confidential Information provided by Terminal Users.

2 RAISING A TERMINAL DISPUTE

- (a) A Dispute Applicant who wishes to raise a Terminal Dispute with VQIRT must do so within 6 months after the circumstance giving rise to that Terminal Dispute by providing written notice to VQIRT (**Terminal Dispute Notice**) for the purpose of endeavouring to resolve the Terminal Dispute.
- (b) The Terminal Dispute Notice must include details of:
 - (i) the nature of the Terminal Dispute;
 - (ii) the outcome sought by the Dispute Applicant in relation to the Terminal Dispute; and
 - (iii) the action on the part of VQIRT which the Dispute Applicant believes will resolve the Terminal Dispute.
- (c) By lodging a Terminal Dispute Notice, the Dispute Applicant agrees to comply with this Non-Price Related Dispute Resolution Process.

3 NEGOTIATION

- (a) Within 7 days of the Dispute Applicant providing VQIRT a Terminal Dispute Notice, senior representatives of each party must meet and undertake genuine and good faith negotiations with a view to resolving the Terminal Dispute expeditiously by joint discussion.
- (b) If the Terminal Dispute is not resolved in accordance with clause 3(a) within 21 days of the Dispute Applicant providing a Terminal Dispute Notice to VQIRT then:
 - (i) if both parties agree, they will attempt to resolve the Terminal Dispute by mediation pursuant to clause 4; or
 - (ii) if one or both of the parties do not wish to resolve the Terminal Dispute by mediation, either party may within 7 days refer the Terminal Dispute to Expert Determination or Arbitration in accordance with clause 4.4.

4 FORMAL MEDIATION

4.1 APPOINTMENT OF MEDIATOR

- (a) A Terminal Dispute referred to formal mediation in accordance with clause 3(b)(i) will be mediated by a single mediator appointed by agreement between VQIRT and the Dispute Applicant.
- (b) The mediator appointed by VQIRT and the Dispute Applicant must have the qualifications and experience necessary to carry out the functions of the mediator independently of VQIRT and must not be:
 - (i) an employee or officer of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (ii) a professional adviser of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
 - (iii) a person who has a contractual relationship with VQIRT or its Related Bodies Corporate (other than the terms of appointment of the mediator);
 - (iv) a Terminal User, supplier or material customer of VQIRT or its Related Bodies Corporate; or
 - (v) an employee or contractor of a firm or company referred to in paragraphs (iii) and (iv) above.

- (c) If VQIRT and the Dispute Applicant fail to agree on the appointment of a mediator within 14 days of referral under clause 3(b)(i), the President of the Chapter of the Institute of Arbitrators and Mediators of Australia (**IAMA**) in the state of Western Australia will select the mediator.

- (d) VQIRT and the Dispute Applicant will use all reasonable endeavours to ensure that:
 - (i) the mediation occurs within 28 days after a mediator has been appointed; and
 - (ii) the mediator is provided with all relevant information available to VQIRT and the Dispute Applicant and all reasonable assistance to enable the mediator to conduct the mediation.

4.2 INDEMNIFICATION OF THE MEDIATOR

VQIRT and the Dispute Applicant will execute a deed to indemnify the mediator against any loss or damage incurred by the mediator in the course of carrying out his or her functions in accordance with his or her terms of appointment.

4.3 CONDUCT OF MEDIATION

Unless otherwise agreed between VQIRT and the Dispute Applicant:

- (a) each of VQIRT and the Dispute Applicant may be represented at the mediation by another party, including by a legally qualified person;
- (b) the cost of the mediation will be shared equally between VQIRT and the Dispute Applicant;
- (c) VQIRT and the Dispute Applicant will bear their own costs relating to the preparation for and attendance at the mediation; and
- (d) the mediation will otherwise be conducted under the IAMA Mediation Rules (whether or not the mediator is a legal practitioner).

4.4 REFERRAL TO EXPERT DETERMINATION OR ARBITRATION

- (a) A party may, by notice to the other (**Final Dispute Notice**) refer a Terminal Dispute which remains unresolved to:
 - (i) an expert for determination in accordance with clause 5; or
 - (ii) an arbitrator for arbitration in accordance with clause 6,
 within 7 days after:
 - (iii) the conclusion of the 21 day negotiation period for the Terminal Dispute under clause 3(b), where the parties have not agreed to attempt to resolve the dispute through mediation; or
 - (iv) the conclusion of formal mediation of the Terminal Dispute in accordance with clause 4.
- (b) Within 7 days of the issue of a Final Dispute Notice, VQIRT and the Dispute Applicant will agree on:
 - (i) which of expert determination or arbitration will be conducted to resolve the Terminal Dispute; and
 - (ii) the identity of the expert or arbitrator to be appointed to conduct the expert determination or arbitration.
- (c) In the event that VQIRT and the Dispute Applicant cannot agree on either:
 - (i) which of expert determination or arbitration will be conducted to resolve the Terminal Dispute; or
 - (ii) the identity of the person to conduct the expert determination or arbitration as the case may be,

then the President of IAMA in the state of Western Australia will determine those matters.

- (d) The expert or arbitrator appointed by VQIRT and the Dispute Applicant must have the qualifications and experience necessary to carry out the functions of the expert or arbitrator as applicable independently of VQIRT and must not be:
 - (i) an employee or officer of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;

- (ii) a professional adviser of VQIRT or its Related Bodies Corporate, whether current or in the past 3 years;
- (iii) a person who has a contractual relationship with VQIRT or its Related Bodies Corporate (other than the terms of appointment of the expert or arbitrator);
- (iv) a Terminal User, supplier or material customer of VQIRT or its Related Bodies Corporate; or
- (v) an employee or contractor of a firm or company referred to in paragraphs (iii) and (iv) above.

5 EXPERT DETERMINATION

If the Terminal Dispute is referred to an expert for expert determination pursuant to clause 4.4(a), the following provisions will apply:

- (a) VQIRT and the Dispute Applicant will use all reasonable endeavours to ensure that the expert provides the expert's determination on the Terminal Dispute within 60 days of referral under clause 4.4(a).
- (b) The expert will decide the Terminal Dispute as an expert not an arbitrator and the expert's decision will be final and binding on both VQIRT and the Dispute Applicant. VQIRT must take all steps within its power to ensure that the expert's decision is fulfilled or otherwise given effect to, including by enforcing VQIRT's contractual rights against third parties.
- (c) The cost of the expert determination will be shared equally between VQIRT and the Dispute Applicant, unless agreed otherwise.
- (d) VQIRT and the Dispute Applicant will use all reasonable endeavours to ensure that the expert is provided with:
 - (i) all relevant information available to VQIRT and the Dispute Applicant; and
 - (ii) all reasonable assistance, in a timely manner, to enable the expert to make a determination in relation to the Terminal Dispute within 60 days of referral under clause 4.4(a).
- (e) VQIRT and the Dispute Applicant will execute a deed to indemnify the expert against any loss or damage incurred by the expert in the course of carrying out his or her functions in accordance with his or her terms of appointment.
- (f) VQIRT must send a copy of any determination made by the expert to Fremantle Ports and the Approved Independent Auditor within 7 days of the determination being made.

6 ARBITRATION

- (a) If the Terminal Dispute is referred to an arbitrator pursuant to clause 4.4(a), VQIRT and the Dispute Applicant may agree on the terms on which the arbitration will be conducted.
- (b) VQIRT must take all steps within its power to ensure that any determination by the arbitrator is fulfilled or otherwise given effect to, including by enforcing VQIRT's contractual rights against third parties.

- (c) If, within 14 days of the arbitrator being appointed, VQIRT and the Dispute Applicant are unable to reach agreement on the terms on which the arbitration will be conducted, the arbitration will be conducted in accordance with the IAMA Arbitration Rules, as modified by the provisions of this Non-Price Related Dispute Resolution Process.
- (d) The arbitrator will not be required to proceed with the arbitration unless and until the Dispute Applicant has agreed to pay the arbitrator's and other costs as determined in accordance with clause 6(p) and provide any indemnity as required in accordance with clause 6(q).
- (e) Unless VQIRT and the Dispute Applicant agree otherwise, the arbitration will be conducted in private.
- (f) VQIRT and the Dispute Applicant may appoint a person, including a legally qualified person, to represent it or assist in the arbitration.
- (g) The arbitrator will present its determination in draft form to VQIRT and the Dispute Applicant and allow them the opportunity to comment before making a final determination.
- (h) The arbitrator will hand down a final determination in writing which includes its reasons for making the determination and findings on material questions of law and fact, including references to evidence on which the findings of fact were based.
- (i) Subject to clause 6(r) and unless VQIRT and the Dispute Applicant agree otherwise, any determination by the arbitrator will be confidential.
- (j) The arbitrator may at any time terminate an arbitration (without making a determination save for any determination under clause 6(p)) and the subject matter if the Dispute Notice shall be regarded as resolved, if he or she thinks that:
 - (i) the notification of the Terminal Dispute is vexatious;
 - (ii) the subject matter of the Terminal Dispute is trivial, misconceived or lacking in substance; or
 - (iii) the Dispute Applicant has not engaged in negotiations in good faith.
- (k) In deciding a Terminal Dispute, the arbitrator will have regard to the objectives of the Section 87B Undertaking and may have regard to any other matters that he or she thinks are relevant.
- (l) In deciding a Terminal Dispute, the arbitrator must not:
 - (i) without the consent of VQIRT and the Dispute Applicant, make a determination which relates to matters which were not specified in the Terminal Dispute Notice; or
 - (ii) without the consent of VQIRT and the Dispute Applicant, allow any other party to join or intervene in the arbitration.
- (m) A determination or direction of the arbitrator will be final and binding, subject to any rights of review by a court of law, and will have effect on and from the date specified by the arbitrator. Any or all of the provisions of a final determination may be expressed to apply from a specified day which is earlier than the day on which it takes effect.
- (n) Other than in circumstances where the determination or direction is the subject of review by a court of law, if a Dispute Applicant does not comply with a determination or direction of the arbitrator, VQIRT will not be obliged to continue to seek to resolve the matters subject of the Terminal Dispute Notice.
- (o) Other than where the determination or direction is the subject of review by a court of law, VQIRT will comply with the lawful determination or direction of the arbitrator.
- (p) The arbitrator's costs and the costs of the parties to the arbitration will be borne by VQIRT and the Dispute Applicant in such proportions as the arbitrator determines. VQIRT and the Dispute Applicant may make submissions to the arbitrator on the issue of costs at any time prior to the arbitrator's costs determination.
- (q) Where the arbitrator requires it, VQIRT and the Dispute Applicant will indemnify the arbitrator from any claims made against the arbitrator arising in connection with the performance by the arbitrator of its duties under this clause 6, such indemnity excluding circumstances where the conduct of the arbitrator constitutes negligence (whether wilful or otherwise), dishonest or unlawful conduct.
- (r) Any laws relating to arbitrations applying in the jurisdiction in which any arbitration undertaken in accordance with this clause 6 is conducted will apply to the arbitration.
- (s) VQIRT must send a copy of any determination made by the arbitrator to Fremantle Ports and the Approved Independent Auditor within 7 days of the determination being made.

7 GENERAL

Save the for the obligations of disclosure to Fremantle Ports and the Approved Independent Auditor provided for in this Non-Price Related Dispute Resolution Process, the Terminal Dispute and any terms of resolution are to be kept strictly confidential by VQIRT and the Dispute Applicant.

8 DEFINITIONS

In this Non-Price Related Dispute Resolution Process, the following meanings will apply (unless the context otherwise indicates):

Access Licence Agreement means an agreement between VQIRT and a Licensee under which the Licensee is supplied the Access Services by VQIRT.

Access Services means the right to use the Terminal to provide all or part of the Terminal Services, and any associated rights, benefits and privileges necessary or desirable to permit a Licensee to provide all or part of the Terminal Services.

Approved Independent Auditor has the meaning given in the Section 87B Undertaking.

Berth means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Confidential Information has the meaning given in the Section 87B Undertaking.

Dispute Applicant means a person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Final Dispute Notice has the meaning given in clause 4.4(a).

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

IAMA means Institute of Arbitrators and Mediators of Australia in Western Australia.

Licensee means any stevedore, Mooring Service provider, PDI Operator or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with VQIRT.

Mooring Services means the mooring and unmooring of vessels at the Berth.

Open Access Conditions means the conditions set out in Schedule 1 of the Section 87B Undertaking.

PDI Operator Services means the undertaking of pre-delivery inspection activities at the Terminal.

Related Body Corporate has the meaning given to that term in the Corporations Act 2001 (Cth).

Section 87B Undertaking means the undertaking by VQIRT to the Australian Competition and Consumer Commission as in force from time to time for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) concerning VQIRT's operation of the Terminal.

Stevedoring Services means the loading and unloading of vessels at the Berth and transfer of cargo to the Terminal.

Terminal Services means:

- (a) Mooring Services, PDI Operator Services and Stevedoring Services; and
- (b) any other services of a kind offered by VQIRT to its Related Bodies Corporate or third parties, including shipping companies, importers and exporters, through its own use of the Terminal.

Terminal User means:

- (a) any shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with VQIRT.

Terminal Dispute means a bona fide commercial dispute raised by a Dispute Applicant associated with the provision of Terminal Services by VQIRT as they relate to that Dispute Applicant, including the terms and conditions of use of Terminal Services or the quality of Terminal Services but excludes any dispute in relation to the price of any Terminal Services or Access Service.

Terminal Dispute Notice has the meaning given in clause 2(a).